

COUNTRY AND PROGRAM RISK ANALYSIS

Bolivia: risk to the IMF Extended Fund Facility

Can the program deliver its objectives over 36 months and just after?

Version 1 | Prepared by AI Analytics | September 2026

Analytical risk assessment; not investment or legal advice. Quantitative backbone: the Augmented MFMOD-Bolivia debt-sustainability analysis (AI Analytics).

Overall program risk: HIGH

The debt ratio more likely than not converges below 90 percent by 2029 at both exchange-rate valuations, but on a negative real-rate carry that the program's own disinflation is designed to remove. The margin is a growth cushion of about one percentage point and a gross-financing need near a fifth to a quarter of GDP.

CONVERGENCE MARGIN

8 pp below 90 (market, 2029)

GROWTH CUSHION

~1 pp 1.7% needed vs 2.5 to 3% assumed

GROSS FINANCING NEED

20 to 25% of GDP, 2026 to 2027

FAN PROBABILITY

73% declining by 2029 (62% combined-adverse)

1. Executive summary

On the program's own assumptions the public-debt ratio is sustainable. Sector Publico No Financiero (SPNF) debt falls from 80 percent of GDP at the official valuation and about 90 percent at the market valuation at end-2025, to about 81 and 82 percent by 2029, meeting the program's stated below-90-percent trajectory at both valuations. The result is not carried by the fiscal effort. It is carried by a negative gap between the effective real interest rate and real growth, the historical norm for an economy with concessional external debt and a repressed domestic market. The primary adjustment of about 8.5 percent of GDP over 2026 to 2029 stops the deficit from adding to the stock; the decline comes from the carry.

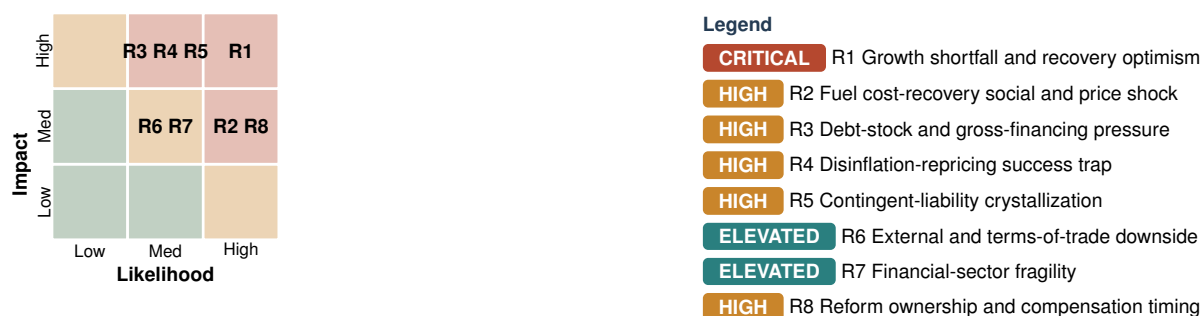
Two risks are linked into the program's critical failure mode.

CRITICAL Growth (R1). The convergence depends on a recovery to about 2.5 to 3 percent by 2029, and the minimum sustained growth that holds the market-rate ratio below 90 percent by 2029 is 1.7 percent, a cushion of about one point. Two independent instruments, a structural model at minus 3.3 percent for 2025 and a combustion nowcast at minus 2.8 percent for the September 2025 to August 2026 window, read the near-term contraction deeper than the program's minus 1.6, so the program is the optimistic outlier on the part that can be checked, and the recovery is the part that cannot.

HIGH The success trap (R4). The program targets single-digit inflation by 2028, and the effective rate reprices upward as the concessional stock rolls off at the 20-to-25-percent-of-GDP financing need. Program success turns the gap between the real rate and growth positive around 2030; the ratio then stops falling and climbs toward the 90 line again, and a primary surplus of about 1 percent of GDP becomes the condition for renewed decline.

The link is that the disinflation which the program needs is the same force that removes the carry now doing the deleveraging. The base case holds because the two do not bind at once in the central path; the risk is the joint state of a growth shortfall and a repricing success, together with a capital-heavy consolidation and a contingent-liability crystallization that on its central estimate breaches 90 on its own.

2. Risk dashboard



3. Risk register

R1 Growth shortfall and recovery optimism

CRITICAL

Channel	The debt path converges only if growth recovers to about 2.5 to 3 percent by 2029; below the 1.7-percent threshold the market-rate ratio stays above 90 in 2029.
Evidence	Bifurcation frontier in the DSA; the independent growth cross-check (model minus 3.3, nowcast minus 2.8, both deeper than the program's minus 1.6); scenario S9 shifts the 2029 ratio to 82/84 and cuts the cushion to about 6 points.
Likelihood	High.
Impact	High.
Watch	SPNF primary balance floor (Cuadro 1); the combustion nowcast refresh; the official activity index at the five-to-six-month lead.
Mitigant	Protect the investment share of the consolidation; a medium-term independent growth read to test the recovery assumption.

R2 Fuel cost-recovery social and price shock

HIGH

Channel	The January-2027 move to cost-recovery pricing (DS 5652) and the large-consumer diesel differential (Bs 18 versus Bs 9.80, DS 5676) raise transport and food prices and carry social-unrest risk.
Evidence	MEFP risk section (p.4, para 9); the program's own delay of the subsidy removal to 2027; scenario S3, where a half-delivered saving and 0.5 point of lost growth raise the 2029 ratio to 83/85.
Likelihood	High.
Impact	Medium to High.
Watch	The 2027 budget with no Treasury or state-enterprise fuel subsidy (structural benchmark, end-December 2026); the social-assistance floor (Cuadro 1).
Mitigant	Compensation that leads rather than lags the price step; targeted transfers through the social registry.

R3 Debt-stock and gross-financing pressure

HIGH

Channel	Gross financing needs run at 20 to 25 percent of GDP; the foreign-currency third of the stock revalues with the exchange rate; external disbursements and Congress approvals gate the roll.
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Evidence	DSA gross-financing table; the mechanical 2026 rise on the official-rate unification; the market valuation near 90 and the full-parallel valuation on the order of 100 to 105 percent at end-2025.
Likelihood	Medium to High.
Impact	High.
Watch	Net international reserve floors and no-external-arrears criterion (Cuadro 1); the external-to-local liability swap execution.
Mitigant	The IMF and multilateral disbursements; the reserve accumulation floors; the liability-management operation.

R4 Disinflation-repricing success trap

HIGH

Channel	As inflation falls to single digits and the effective rate reprices upward, the gap between the real rate and growth turns positive and the programmed zero primary no longer holds the ratio down.
Evidence	Scenario S10: the gap turns positive around 2030, the ratio stops falling and rises to about 88/90 by 2031 and 94/96 by 2035, and the stabilizing primary becomes a surplus of about 0.95 percent of GDP.
Likelihood	Medium (conditional on program success).
Impact	High.
Watch	The base-money ceiling and inflation path (Cuadro 1, p.10); the marginal rate on new external and local issuance.
Mitigant	A medium-term fiscal framework that plans the transition from zero primary to a small surplus before the carry reverses.

R5 Contingent-liability crystallization

HIGH

Channel	State-enterprise losses, fuel-trader arrears, the central-bank credit programs, and the pension-fund exposure to the public sector can move onto the debt stock as a stock-flow adjustment.
Evidence	Right-sized S6: a central bundle of about 7 percent of GDP (fuel-trader arrears about 2 percent, residual arrears about 0.9 percent, state-enterprise losses and the credit-program wind-down the rest) puts the 2028 ratio at 90/92, breaching 90 at both valuations; the range runs 4 to 12 percent.
Likelihood	Medium.
Impact	High.
Watch	The arrears audit and state-enterprise restructuring (MEFP p.6 to 7); the fiscal-risk publication (structural benchmark, end-June 2027).
Mitigant	The arrears clearance strategy; state-enterprise reform; publication of the full public-sector liability perimeter.

R6 External and terms-of-trade downside

ELEVATED

Channel	The current account is assumed to move to surplus in 2026 to 2027; a terms-of-trade reversal or higher energy import prices, together with disbursement timing, reopen the external gap.
Evidence	MEFP risk section (p.4, para 9); scenario S4, where a 150-basis-point rise in the external rate and a disbursement slip hold the ratio near 87/89 with little decline.
Likelihood	Medium.

Impact	Medium to High.
Watch	Reserve floors; the current-account path; the timing of multilateral and bilateral disbursements.
Mitigant	The reserve accumulation floors; the multilateral financing commitments (about 70 percent of external debt multilateral).

R7 Financial-sector fragility

ELEVATED

Channel	Foreign-currency deposits, the central-bank credit-program unwind, the pension-fund exposure, and asset quality under higher rates are transmission points during the transition to market-based policy.
Evidence	MEFP risk section and the financial-stability commitments (p.4 para 9; p.12 to 13, para 29 to 32).
Likelihood	Medium.
Impact	High.
Watch	The solvency and liquidity stress tests (structural benchmark, end-March 2027); the credit-program repayment plan; deposit dynamics.
Mitigant	The stress-testing and resolution-regime program; the deposit-return schedule; the deposit-insurance unit.

R8 Reform ownership and compensation timing

HIGH

Channel	Whether compensation leads or lags the January-2027 fuel step, and whether the reform holds a social coalition, decides if the primary path survives contact with the political cycle.
Evidence	The political-economy analysis of rent and reform ownership; the program's own reliance on sustained social consent (MEFP p.1, para 2); scenario S3 and S7.
Likelihood	High.
Impact	Medium to High.
Watch	The social-assistance floor delivery (Cuadro 1); the social registry and means-testing framework (structural benchmark, end-March 2027).
Mitigant	A resource-dividend or universal-transfer design that makes the citizenry a residual claimant; compensation sequenced ahead of the price step.

4. Scenario analysis

The debt paths are reduced-form, reported at the official and the market valuation. Scenarios are illustrative structured stresses, not forecasts. S0 is the program baseline; S1 to S8 are the DSA stresses; S9 and S10 are the new independent-growth and success-case scenarios.

The bifurcation. On the program's assumptions the ratio converges. It stalls above 90 and a primary surplus becomes the condition for decline under one combination: a deeper near-term contraction (S9), the disinflation and repricing that turn the carry positive (S10), and a capital-heavy consolidation that lowers potential growth (the gap between S2 and S8). Each element alone is survivable; the combination is the program's critical scenario.

5. Independent growth cross-check

Two of the three independent instruments put the 2025 to 2026 contraction materially deeper than the program, so the program's near-term growth is the optimistic outlier, and the same optimism is the natural prior on its recovery assumption. The nowcast bracket, not its point, is carried into the S9 debt path. The nowcast is not extended past its horizon; the 2028-and-after path stays program-based and is flagged as such.

Table 1: SPNF debt, percent of GDP, official / market valuation

Scenario	2027	2028	2029	2031	2035
S0 baseline	85/87	83/85	81/82	77/78	71/72
S1 growth shortfall	87/89	85/87	83/85	79/81	73/75
S4 external downside	89/91	88/90	87/89	85/87	83/85
S6 contingent liabilities (7%)	89/91	90/92	87/89	83/85	76/78
S7 combined adverse	88/90	88/90	87/89	84/86	77/79
S8 growth-protective	85/87	83/85	80/81	75/77	69/70
S9 ISAE near-term (central)	87/89	84/86	82/84	78/80	72/73
S10 disinflation-repricing	86/88	86/88	86/88	88/90	94/96

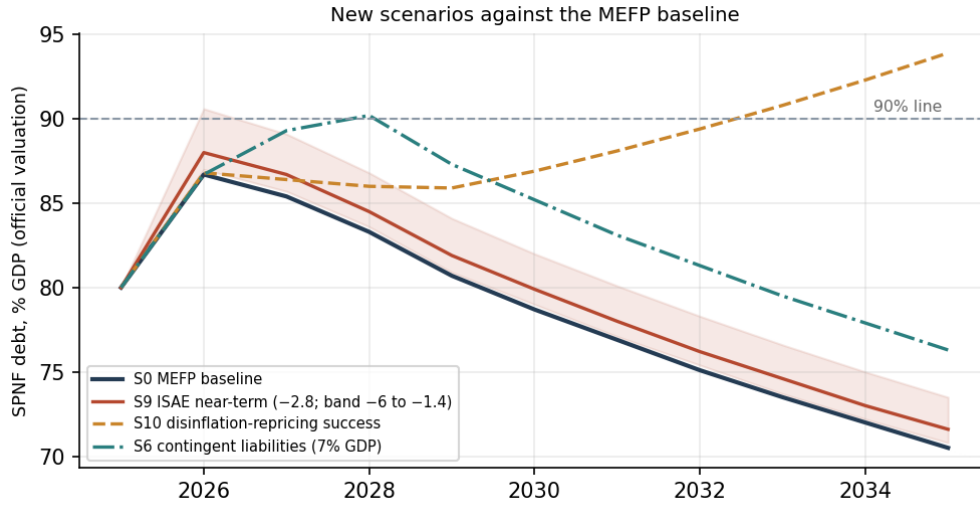


Figure 1: New scenarios against the baseline. The success case (S10) is the only path that turns back up.

6. Monitoring dashboard

Each risk is mapped to a quantitative criterion or structural benchmark and to the review calendar. The first review is scheduled for December 2026 on the end-September 2026 criteria.

Risk	Quantitative anchor	Trigger to watch
R1	SPNF primary floor (Cuadro 1)	primary miss; nowcast refresh below the program near-term path
R2	2027 budget, no fuel subsidy (SB, end-Dec 2026)	delay or partial reversal of the January-2027 step
R3	NIR floors; no external arrears (Cuadro 1)	disbursement slip; reserve floor miss; arrears accumulation
R4	base-money ceiling; inflation path	inflation reaching single digits with the rate repricing up
R5	fiscal-risk publication (SB, end-Jun 2027)	a contingent liability moving onto the stock above about 4 to 5 percent of GDP
R6	NIR floors; current account	terms-of-trade reversal; external-rate rise
R7	solvency and liquidity stress tests (SB, end-Mar 2027)	asset-quality deterioration; deposit outflow
R8	social-assistance floor (Cuadro 1)	compensation lagging the fuel step; social-registry delay

7. Outlook

The base case is convergence below 90 percent by 2029 at both exchange-rate valuations, on a negative carry, more likely than not on the fan. Three swing factors decide whether it holds.

- **Post-2028 growth.** The recovery to about 2.5 to 3 percent is the load-bearing assumption and the least independently verifiable one; the cushion to the 1.7-percent threshold is about one point.

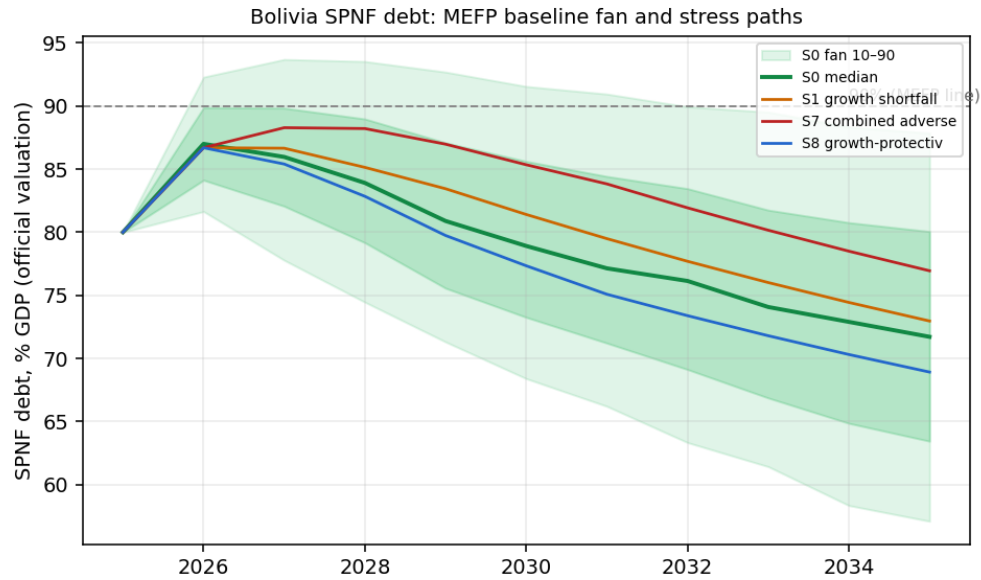


Figure 2: Baseline stochastic fan (1,000 draws, seed 20260910) with the growth-shortfall, combined-adverse, and growth-protective paths.

- **The composition of the consolidation.** Cutting current spending rather than capital is worth about 2 to 4 points of the debt ratio by 2035, the difference between the growth-protective and investment-compression paths.
- **Whether compensation leads or lags the January-2027 fuel step.** The sequencing decides the social consent on which the primary path depends.

The program can deliver its objectives, and on the central path it does. The risk is concentrated, not diffuse: it sits in the joint state where the program succeeds at disinflation, growth disappoints, and a public-sector liability crystallizes, and it is in that state that the zero primary target becomes insufficient and a surplus becomes the condition for a falling ratio.

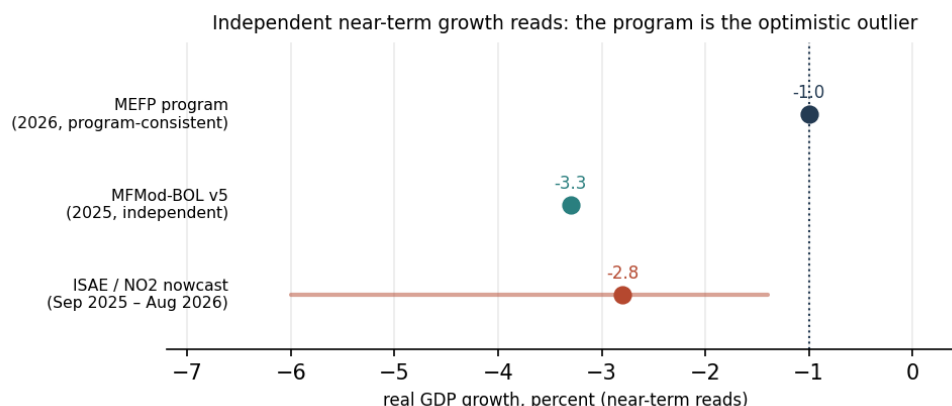


Figure 3: Three independent near-term growth reads. The combustion nowcast carries its bracket.

Appendix A: debt paths, both valuations

Table 2: SPNF debt, percent of GDP, official / market valuation, all scenarios

Scenario	2026	2027	2028	2029	2030	2031	2033	2035
S0 baseline	87/89	85/87	83/85	81/82	79/80	77/78	73/75	71/72
S1 growth shortfall	87/89	87/89	85/87	83/85	81/83	79/81	76/78	73/75
S2 investment compression	87/89	85/87	84/86	82/83	80/82	79/80	75/77	72/74
S3 reform reversal	87/89	87/89	86/88	83/85	81/83	79/81	76/77	73/74
S4 external downside	89/91	89/91	88/90	87/89	86/88	85/87	84/86	83/85
S5 second FX adjustment	87/89	87/88	83/85	80/82	78/80	76/78	73/75	70/72
S6 contingent liab. (7%)	87/89	89/91	91/92	88/89	86/87	84/85	80/81	77/78
S7 combined adverse	87/89	88/90	88/90	87/89	85/87	84/86	80/82	77/79
S8 growth-protective	87/89	85/87	83/85	80/81	77/79	75/77	72/73	69/70
S9 ISAE near-term	88/90	87/89	84/86	82/84	80/82	78/80	75/76	72/73
S10 disinflation-repricing	87/89	86/88	86/88	86/88	87/89	88/90	91/93	94/96

Appendix B: identification and provenance

Status of headlines. Baseline anchors (2025 growth, primary floors, zero primary by 2029, debt 80/90 at end-2025, the 90-by-2029 path) are program figures, page-cited in the debt-sustainability analysis. The 2026-to-2035 growth and inflation glide is program-consistent, not a program figure. The interest-rate path, the foreign-currency share, and the amortization profile are reduced-form calibrations. All debt paths, the gap between the real rate and growth, the stabilizing values, and the financing needs are reduced-form results of the debt-dynamics identity. Scenarios S1 to S10 are illustrative structured stresses. The fan probabilities are inference around the identity with the historical joint distribution of growth and the real rate.

Reduced-form status. The debt path is identity-based, not a full structural solve. The Augmented MFMOD-Bolivia model supplies structure and elasticities and an independent growth read; its own 2025 call is minus 3.3 percent, and it is not used as the baseline generator.

Exchange-rate valuation. Every debt and financing figure is reported at the official peg valuation (6.96 Bs/USD) and the market valuation (a reference rate near 9.8 that reconciles the program's 90-percent end-2025 figure). The full street-parallel valuation, near 13.5, is the adverse bound and puts the end-2025 stock on the order of 100 to 105 percent. A single-rate figure is not a result.

GDP rebase. The 2016/17 rebase breaks any ratio-to-GDP series; the spliced series is used for the historical ratios and the fan distribution, and the unspliced series does not change the sign of any headline.

Frequency. The data and the analysis are annual. No higher-frequency inference is drawn, including from the within-year test points of Cuadro 1.

Sources. Program anchors: the Memorando de Politicas Economicas y Financieras. Historical series: the fiscal database (SPNF 1990 to 2024, debt and GDP, INE consumer prices, the state-enterprise directory). Near-term activity: the combustion nowcast (published reads). Model structure: the Augmented MFMOD-Bolivia, AI Analytics.

AI Analytics

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